

YOU FIXED THE PROBLEM. WHY DID IT COME BACK?

Why short-term corrective action fades — and how to make the EBITDA improvement hold.

CONTROL • EVIDENCE • DURABILITY
CARRON BUSINESS ADVISORY

Executive Summary

A cost can fall, a margin can recover and overdue debtors can be collected — yet the same problem returns a few months later. That usually means you treated the number, but the way the business works did not change.

The practical test is not whether the first result looked good. It is whether the improvement still holds when your attention moves elsewhere, normal pressure returns and the team follows the new routine without you chasing it.

- Separate the quick intervention from the permanent operating change.
- Track one early-warning figure as well as the later financial result.
- Test the improvement after 30, 60 and 90 days — under normal business pressure.

DECISION PRINCIPLE

Do not close an improvement action because the task was completed. Close it when the evidence shows the result continues without continual owner rescue.

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A practical route from a recurring financial symptom to an operating change that lasts.

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HOW TO USE THIS REPORT

Start with the number that improved. Then follow the evidence backwards: what behaviour changed, what routine now catches drift, and what will tell you early if the problem is returning?

1. The Recurring Problem

You challenge the overtime bill. It falls. You push for collections. Debtors improve. You stop a discounting habit. Margin recovers. Then your attention moves to the next urgent issue — and the old number creeps back.

That does not necessarily mean the first action was wrong. It often means the action depended on your presence. The business responded to pressure, but it did not yet build a routine that could hold the improvement on its own.

The useful distinction

- The symptom is the financial result you can see: overtime, margin, stock losses, rework or overdue debtors.
- The cause is the operating behaviour beneath it: weak scheduling, unclear approval, missing ownership or a report that arrives too late.
- The control is the repeatable routine that prevents, detects or corrects the problem before it becomes expensive.

2. Three Levels of Response

Most improvements move through three levels. Confusing them is why a completed task can look like a solved problem.

LEVEL	WHAT IT LOOKS LIKE	WHAT IT PROVES
1 Immediate intervention	You stop the spend, chase the debtor or approve every exception yourself.	The number can move quickly.
2 Corrective action	You change a roster, price, workflow, responsibility or approval rule.	A likely cause has been addressed.
3 Lasting control	The team follows the routine, exceptions are visible and someone acts before you step in.	The improvement can hold without owner rescue.

The goal is not to eliminate judgement. It is to stop the same preventable problem from needing the same emergency intervention every few months.

3. Why Sensible Fixes Fade

The cause was never clear. You acted on the most visible cost, but the real trigger sat elsewhere — in planning, pricing, purchasing, quality or collections.

The fix lived in one person's head. The new way worked while the owner or one strong manager watched it. There was no simple rule, owner or exception report.

The team was measured on the wrong outcome. People protected delivery, volume or customer response time, even when doing so recreated the cost you were trying to remove.

Normal pressure returned. A rush order, staff absence, supplier delay or load-shedding catch-up shift pushed the business back to the old workaround.

The review stopped too soon. The first good month was treated as proof. No one checked whether the result survived a second or third operating cycle.

4. What Evidence Shows the Problem Was Fixed

A lasting improvement leaves a trail. You should be able to see evidence in four places — not just in the month-end accounts.

EVIDENCE	OWNER'S QUESTION	EXAMPLE
Cause	Do we know what repeatedly triggered the cost or shortfall?	Late production changes created extra shifts.
Changed behaviour	What now happens differently in the normal workflow?	The weekly plan is frozen unless an exception is approved.
Early warning	What will move before the financial result deteriorates?	Unplanned hours and schedule changes are reviewed weekly.
Accountability	Who sees the exception and acts without waiting for me?	The operations lead explains every breach on Friday.
Outcome	Has the saving or margin held through normal pressure?	The result remains within range for three review points.

5. Worked Example: Overtime Falls, Then Returns

A fictional South African light manufacturer is spending R120,000 a month on overtime. The owner requires personal approval for every extra shift. Overtime falls to R65,000, so the action is marked complete.

Two months later the owner focuses on sales and a supplier problem. Overtime rises to R105,000. The first saving was real, but it depended on the owner's attention. The business had not changed the planning behaviour that created the extra hours.

STAGE	MONTHLY OVERTIME	WHAT WAS REALLY HAPPENING
Before action	R120,000	Late schedule changes and weak shift planning were normal.
Owner approval	R65,000	The owner blocked exceptions personally; the underlying routine stayed weak.
Attention moves	R105,000	The old behaviour returned when the owner stopped checking every request.
Process change	R68,000–R75,000	A frozen weekly plan, named exception owner and weekly early-warning review replaced owner chasing.

What changed the result

- The weekly production plan could only be changed for a recorded customer, equipment or staffing exception.
- Unplanned hours were reviewed every Friday — before payroll converted them into a month-end cost.
- The operations lead owned the explanation and response; the owner only saw unresolved exceptions.
- The comparison was adjusted for output volume, annual wage increases and unusual disruption.

At R75,000 a month, the saving is R45,000 a month or R540,000 a year. But that is only a worthwhile EBITDA improvement if it does not reappear as late deliveries, lost output, rework or quality claims.

SOUTH AFRICAN REALITY CHECK

If load-shedding or another disruption forces catch-up work, record it separately. A distorted month should be explained — not used to declare the fix a failure or to hide a returning problem.

6. The 90-Day Improvement Test

Ninety days is not a universal rule. It is a practical review rhythm: long enough for attention to move, pressure to return and the new routine to be tested more than once.

REVIEW	WHAT TO CHECK	SIGN THE FIX IS HOLDING
Day 5	Owner, baseline, target and first action are clear.	The team knows what changed and who owns it.
Day 30	The new routine is being followed; exceptions are visible.	The early-warning figure moves in the expected direction.
Day 60	The result survives a busy period or normal disruption.	The owner is no longer the routine control.
Day 90	Operating and financial evidence still agree.	The gain holds without creating a new cost elsewhere.

Use AI as a tracker, not as proof

AI can help pull early-warning figures from scheduling, payroll, stock or debtor data, compare them with the agreed range and flag exceptions for review. It does not prove the cause or replace your judgement. Check the source data and the operating context before acting.

Keep profit, EBITDA and cash separate

A cost reduction may improve EBITDA — the operating profit measure before interest, tax, depreciation and amortisation — but cash can move at a different time. Confirm both: did the underlying operating result improve, and did the cash benefit actually reach the bank?

COMPARISON DISCIPLINE

Compare like with like. Adjust for output, mix, wage increases, seasonality and one-off disruption before deciding whether the improvement held.

7. When You Can Call It Fixed

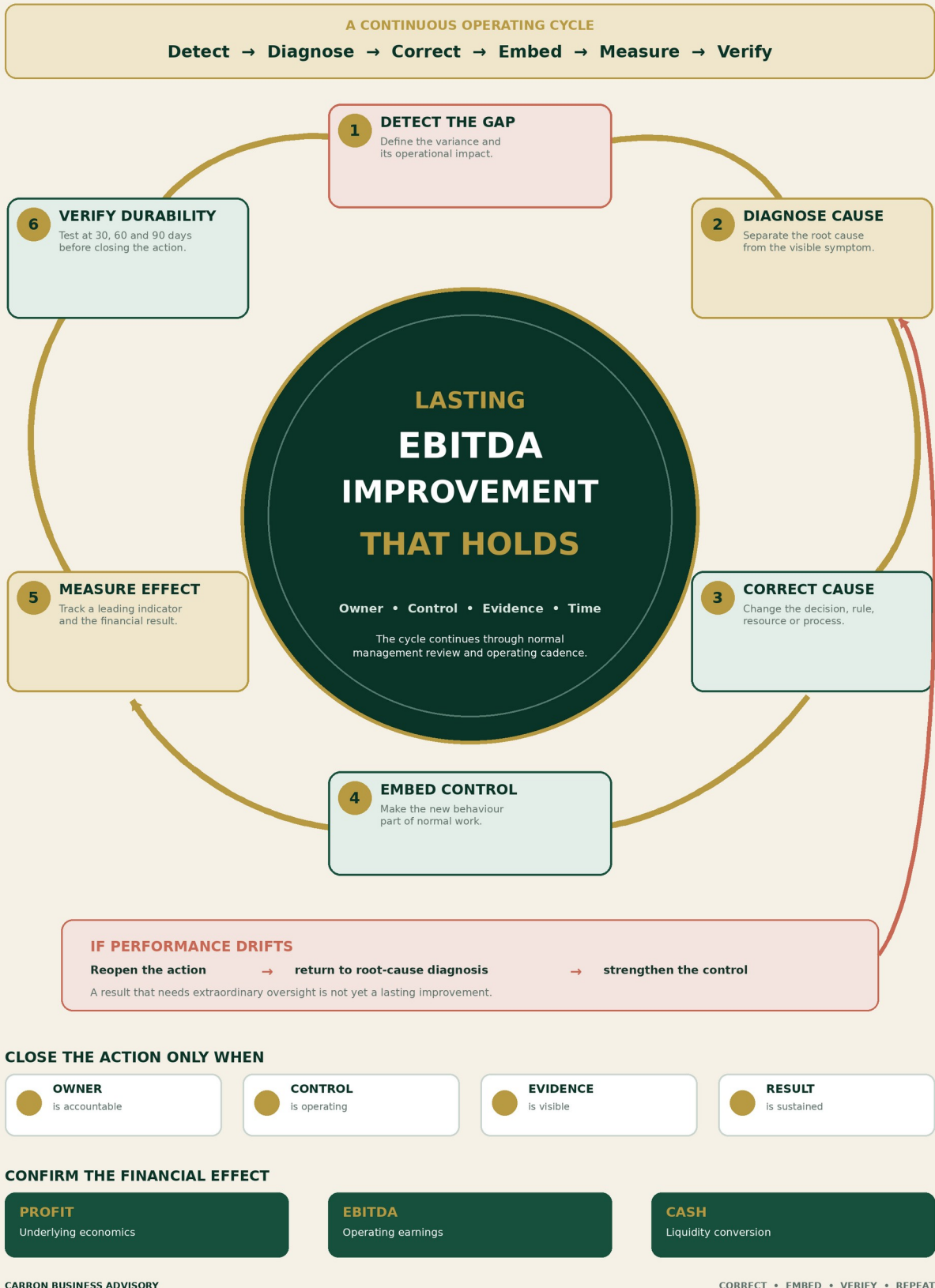
You do not need a perfect process. You need enough evidence to know that the business has stopped relying on repeated intervention for the same preventable issue.

Ask these owner questions

- What was the real cause — and what evidence supports that view?
- What now happens differently, and who owns the exceptions?
- Which figure will warn us before the month-end result deteriorates?
- Has the result survived pressure without damaging delivery, quality, customers or cash?
- Does this still work when I stop asking about it every day?

THE LASTING-IMPROVEMENT CYCLE

Corrective action is not finished when the number improves — it is finished when the new behaviour holds



Closing perspective

A better number is encouraging. A changed operating habit is more valuable. When the rule is clear, exceptions have an owner and your attention is no longer the control, a temporary saving has a better chance of becoming lasting EBITDA improvement.

PRACTICAL TOOL

Improvement That Sticks Review Record

Use one record for each material improvement. Keep it short enough to review in ten minutes.

1 The problem and baseline	What number is wrong? What period and operating volume does it relate to? _____
2 The likely cause	What behaviour, decision or process repeatedly creates the result? _____
3 The immediate intervention	What did you do to stop the loss or pressure now? _____
4 The permanent change	What will happen differently in the normal workflow? _____
5 Early-warning figure	What will tell you first that the problem is returning? _____
6 Owner and review rhythm	Who acts on exceptions? When will you review Day 30, 60 and 90? _____
7 Guardrails	Which delivery, quality, customer and cash measures must not deteriorate? _____
8 Evidence at closure	What proves the outcome held without continual owner chasing? _____

DECISION RULE

Close the action only when the operating evidence and the financial result both hold — without continual owner rescue and without shifting the cost elsewhere.

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General business and financial education only. The examples are illustrative and should be tested against your business, agreements, accounting treatment and professional advice.